

## Mark schemes

1.

C

[1]

2.

Calculation:  $348/5 = 69.6\%$

| Response                                                                             | Max 2 marks |
|--------------------------------------------------------------------------------------|-------------|
| For the correct answer with the % sign and to one decimal place                      | 2 marks     |
| For the correct answer but without the % sign <b>and/or</b> not to one decimal place | 1 mark      |

[2]

3.

### Areas for discussion include:

- criteria upon which 'the economic welfare of society' may be judged
- general discussion of the role of trade unions
- how trade unions can 'protect the interests of workers'
- trade unions as monopoly suppliers of labour
- trade unions and collective bargaining
- trade unions help to restore the balance of power between an individual worker and a dominant employer
- trade unions in an otherwise competitive labour market
- trade unions bargaining with employers who have monopsony power
- ways in which a trade union can influence the outcome of collective bargaining, e.g. thorough negotiation, working-to-rule, strike action
- influence of trade unions on government social and labour-market policies
- evidence from the data, eg reference to British trade unions, Chinese experience, the behaviour of multinational companies, eg Walmart
- possible 'negative' effects of trade unions, eg slow down productivity gains, reduce competitiveness, increase costs of production, reducing flexibility, create barriers to exit from a market
- possible positive effects, eg protect members' earning power, fight discrimination in the workplace, improve working conditions, health and safety of employees, working hours and holiday entitlement, may reduce costs (easier to negotiate with a single entity, contribute to improvements in productivity)
- challenging basic assumptions, e.g. that employers do not want to be part of a highwage industry, or that unions are not interested in flexibility or efficiency, e.g. through multi-skilling or training
- consideration of when is a union not a union (critical view of the Chinese model)
- role of governments in general in trade union matters, e.g. through legislation

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

[25]



4.

| Level of response | An answer that:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Max 9 marks |
|-------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 3                 | <ul style="list-style-type: none"><li>• is well organised and develops one or more of the key issues that are relevant to the question</li><li>• shows sound knowledge and understanding of relevant economic terminology, concepts and principles</li><li>• includes good application of relevant economic principles and/or good use of data to support the response</li><li>• includes well-focused analysis with a clear, logical chain of reasoning</li><li>• includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.</li></ul> | 7-9 marks   |
| 2                 | <ul style="list-style-type: none"><li>• includes one or more issues that are relevant to the question</li><li>• shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li><li>• includes reasonable application of relevant economic principles and/or data to the question</li><li>• includes some reasonable analysis but it might not be adequately developed and may be confused in places</li><li>• may include a relevant diagram.</li></ul>                                                     | 4-6 marks   |
| 1                 | <ul style="list-style-type: none"><li>• is very brief and/or lacks coherence</li><li>• shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li><li>• demonstrates very limited ability to apply relevant economic principles and/or data to the question</li><li>• may include some very limited analysis but the analysis lacks focus and/or becomes confused</li><li>• may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.</li></ul>                       | 1-3 marks   |

**If the response does not include a relevant diagram, the candidate cannot be awarded more than 5 marks.**

**Relevant issues include:**

- what is meant by monopsonistic demand for labour
- monopsonist is likely to reduce the demand for labour to force down wages and maximise profits – not possible where employers do not have monopsonistic power
- profit maximising level of employment is where  $MRP_L = MC_L$
- leads to a lower wage and a lower level of employment than in a competitive labour market.

[9]

6.

| Response:                                                                                                                                                                                                                                                                         | Max<br>4 marks |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
| <ul style="list-style-type: none"> <li>includes evidence that shows the declining importance of trade unions in the UK labour market</li> <li>clearly explains how this data is evidence of the declining importance of trade unions in the labour market.</li> </ul>             | 4 marks        |
| <ul style="list-style-type: none"> <li>includes evidence that shows that the trade unions are less important in the UK labour market</li> <li>unclear explanation of how this data is evidence of the declining importance of trade unions in the labour market.</li> </ul>       | 3 marks        |
| <ul style="list-style-type: none"> <li>includes evidence that shows that the trade unions are less important in the UK labour market</li> <li>limited or no explanation of how this data is evidence of the declining importance of trade unions in the labour market.</li> </ul> | 2 marks        |
| <ul style="list-style-type: none"> <li>includes evidence that does not clearly show the declining importance of trade unions</li> <li>weak or no explanation of how this data is evidence of the declining importance of trade unions in the labour market.</li> </ul>            | 1 mark         |

**Relevant issues include:**

- the data show a fall in the number of employees who are union members, i.e. the number of unions members fell by 0.6 million between 1995 to 2012
- the % of workers in unions, or union density, also fell by almost 20% between 1995 to 2012
- why the above might indicate that unions are likely to have less direct influence over wage bargaining and conditions of employment
- why the above suggest that unions may also have less importance in the determination of wages and conditions of employment in industries where unions are not directly involved, e.g. through the impact on wage differentials
- the decline in union membership and density may also mean that governments pay less attention to the views of the union movement when determining labour-market policies

[4]

9.

A

[1]

10.

B

[1]

**11.**

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

|                |                                                                                                                    |                                                    |
|----------------|--------------------------------------------------------------------------------------------------------------------|----------------------------------------------------|
| <b>Level 5</b> | <b>Good analysis <u>and</u> good evaluation</b>                                                                    | <b>22 to 25 marks</b><br><i>Mid-Point 24 marks</i> |
| <b>Level 4</b> | <b>Good analysis <u>but</u> limited evaluation<br/>OR<br/>Reasonable analysis <u>and</u> reasonable evaluation</b> | <b>17 to 21</b><br><i>Mid-Point 19 marks</i>       |
| <b>Level 3</b> | <b>Reasonable including some correct analysis <u>but</u><br/>very limited evaluation</b>                           | <b>10 to 16</b><br><i>Mid-Point 13 marks</i>       |
| <b>Level 2</b> | <b>Weak with some understanding</b>                                                                                | <b>4 to 9</b><br><i>Mid-Point 7 marks</i>          |
| <b>Level 1</b> | <b>Very weak</b>                                                                                                   | <b>0 to 3</b><br><i>Mid-Point 2 marks</i>          |

Refer also to the issues and areas for discussion on the next page.

**Issues and areas for discussion include**

|                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                     | <ul style="list-style-type: none"> <li>Definitions of minimum wage, living wage, earning power</li> <li>Distinction between income and wealth</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Developing the response to the question:</b><br><b>(Application)</b> | <ul style="list-style-type: none"> <li>Comments from own economic knowledge or based on the data, e.g.</li> <li>EU context (Extract E)</li> <li>Discussion of differences between NMW and living wage (Extract E)</li> <li>Levels and comparisons (Extract F)</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Developing the response to the question:</b><br><b>(Analysis)</b>    | <ul style="list-style-type: none"> <li>Who are the low paid?</li> <li>Possible effects of NMW on output and employment</li> <li>Benefits of a living wage, e.g. reduced labour turnover, increased productivity, reduced government subsidies for low wages</li> <li>Increased costs of living wage, effects on sectors / general economy</li> <li>Other methods of raising wage levels, e.g. productivity enhancement, skills, education and training</li> <li>Benefits and welfare to work</li> <li>Impact of taxes</li> <li>Short and long run considerations</li> <li>Money costs of NMW</li> <li>Opportunity costs of government subsidies for the low paid</li> <li>External costs of inequality</li> <li>The economic disfunctionality of inequality</li> </ul>                                                                                                                                                                                                                                                                                                           |
| <b>Evaluation</b>                                                       | <ul style="list-style-type: none"> <li>General arguments for and against government intervention in labour markets</li> <li>Market failure versus government failure</li> <li>Consideration of the issues from different points of view, e.g. employers, employees, taxpayers</li> <li>Consideration of the affordability of NMW</li> <li>The government's own position as a major employer (local and national government)</li> <li>Efficacy of NMW compared with other policies</li> <li>Efficacy of NMW compared with other policies</li> <li>Consideration of the definition of living wage (how to define 'decent' standard of life)</li> <li>What is the value of a NMW if it is not a 'living' wage?</li> <li>A high-wage economy versus a low-wage economy</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for</b>                                             | <ul style="list-style-type: none"> <li>Diagrams</li> <li>An overall judgement on the issues raised</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

It will only be possible for candidates to consider a few of the issues and areas noted. They may also discuss issues not mentioned in the table.

[25]

12.

**Areas for discussion include:**

- what is meant by inequality, eg income, wealth, health, social background
- inequality in the UK
- causes of inequality, eg differences in innate or acquired skills, differences in the marginal revenue product of individuals, inheritance, social factors
- inequality and incentives to work and enterprise
- inequality, resource allocation and the operation of the price mechanism
- the trickle-down effect
- inequality as a consequence of market failure
- inequality as a cause of market failure
- inequality and poverty are likely to result in a waste of human talent
- inequality resulting from and leading to the concentration of economic power
- how inequality might contribute to 'asset price bubbles' and macroeconomic instability
- impact of inequality on people's well-being and social factors such as crime, life expectancy and obesity
- why and how the consequences of different types of inequality may vary
- the impact of measures designed to reduce inequality
- the degree of inequality as a determinant of whether inequality is 'good for us all'
- is inequality good for any of us?
- the importance of value judgements, including fairness and justice.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

[25]

13.

**The anticipated diagram would make appropriate use of diagrams, e.g. S & D for labour; MRP.**

**Relevant issues include:**

- For defining / describing equity, in terms of fairness and equality, in terms of distribution of income or wealth.
- Wages can be considered the price of labour; the demand for labour comes from employers; the supply of labour comes from employees.
- The basic reason for low pay in certain occupations is that demand is low and/ or supply is high. Low skilled labour, for example, requiring no qualifications has a large potential supply, and demand is weak, for various reasons, e.g. since this kind of labour can often be easily automated.
- Other influences, e.g. marginal revenue product, price elasticity of demand for and supply of labour, imperfections in the labour market, immobility, discrimination, collective bargaining (or the lack of trade unionisation).

[9]

15.

| Response                                                                                                                       | Max 2 marks    |
|--------------------------------------------------------------------------------------------------------------------------------|----------------|
| For the correct answer <b>50%</b> . The 'unit' (per cent or %) <b>must</b> be shown.                                           | <b>2 marks</b> |
| For the correct answer <b>without</b> a unit shown.<br>Any other answer between 49 and 51 (inclusive), <b>with</b> unit shown. | <b>1 mark</b>  |

[2]

16.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

|                |                                                                                                                    |                                                    |
|----------------|--------------------------------------------------------------------------------------------------------------------|----------------------------------------------------|
| <b>Level 5</b> | <b>Good analysis <u>and</u> good evaluation</b>                                                                    | <b>22 to 25 marks</b><br><i>Mid-Point 24 marks</i> |
| <b>Level 4</b> | <b>Good analysis <u>but</u> limited evaluation<br/>OR<br/>Reasonable analysis <u>and</u> reasonable evaluation</b> | <b>17 to 21</b><br><i>Mid-Point 19 marks</i>       |
| <b>Level 3</b> | <b>Reasonable including some correct analysis <u>but</u> very limited evaluation</b>                               | <b>10 to 16</b><br><i>Mid-Point 13 marks</i>       |
| <b>Level 2</b> | <b>Weak with some understanding</b>                                                                                | <b>4 to 9</b><br><i>Mid-Point 7 marks</i>          |
| <b>Level 1</b> | <b>Very weak</b>                                                                                                   | <b>0 to 3</b><br><i>Mid-Point 2 marks</i>          |

**Issues and areas for discussion include**

|                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|-------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                     | Definitions of <ul style="list-style-type: none"><li>• wage levels</li><li>• working conditions</li><li>• differentials.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Developing the response to the question:</b><br><b>(Application)</b> | <ul style="list-style-type: none"><li>• Comments from own economic knowledge or based on the data, e.g. further comments on wage rates and differentials, and wages increasing and recently flat-lining (<b>Extract D</b>)</li><li>• EU context (<b>Extract E</b>)</li><li>• Discussion of other aspects, such as bonus caps, wealth tax, fixed ratios between higher and low paid workers (<b>Extract F</b>)</li><li>• Other possible policies, e.g. minimum wage, living wage</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Developing the response to the question:</b><br><b>(Analysis)</b>    | <ul style="list-style-type: none"><li>• Possible effects of government intervention/market forces on output and employment</li><li>• Benefits of a government intervention, e.g. reduced inequality, higher morale</li><li>• Increased costs of NMW / other policies, effects on sectors / general economy</li><li>• Other methods of raising wage levels, e.g. productivity enhancement, skills, education and training</li><li>• Taxes, benefits and welfare to work</li><li>• Short and long run considerations</li><li>• Opportunity costs of government subsidies for the low paid</li><li>• The economic disfunctionality of inequality</li><li>• The case for market forces in resource allocation</li></ul>                                                                                                                                                                                                             |
| <b>Evaluation</b>                                                       | <ul style="list-style-type: none"><li>• General arguments for and against government intervention in labour markets</li><li>• Market failure versus government failure</li><li>• Consideration of the issues from different points of view, e.g. employers, employees, taxpayers</li><li>• Consideration of the affordability of government intervention</li><li>• Arguments to do with competitiveness</li><li>• The government's own position as a major employer (local and national government)</li><li>• Efficacy of NMW compared with other policies</li><li>• A high-wage economy versus a low-wage economy</li></ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for</b>                                             | <ul style="list-style-type: none"><li>• Diagrams</li><li>• An overall judgement on the issues raised</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

17.

The anticipated diagram would make appropriate use of MRP and market wage, in a price taking situation.

Relevant issues include:

- For defining / describing marginal revenue product in terms of the amount added to the total revenue of a firm by the output of an additional worker.
- It might be assumed that labour markets are 'perfect' and that there is individual bargaining.
- The wage rate is the price of labour.
- This price is determined by the labour market and the employing firm acts as a price taker.
- The employer will take on extra units of labour as long as the value of its output is greater than the market wage.
- It follows that once the marginal cost of the last worker employed is equal to their MRP, no more will be employed.
- A similar explanation, assuming an imperfect market, e.g. monopsonistic demand for labour.

[9]

18.

| Response                                                                                                                                                                                    | Max 2 marks    |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
| For the correct answer, 357:1, or 357/1, or 357 to 1. The ratio ":1" or "/1" or "to 1" <b>must</b> be shown.                                                                                | <b>2 marks</b> |
| For the correct answer (357) <b>without</b> ratio, or wrongly expressed as "1:" or "1/" or "1 to".<br>Any other answer between 356 and 358 (inclusive), <b>with</b> ":1" or "/1" or "to 1". | <b>1 mark</b>  |

[2]

19.

D

[1]

20.

A

[1]

**21.****Areas for discussion include:**

- discussion of whether relative poverty is a problem, whether it is inevitable and insoluble.
- discussion of market forces
- the argument that some relative poverty has been created or reinforced by the state, through, for example the unemployment trap or a culture of benefits dependency
- discussion of the fact that the individual people defined as being in relative poverty have not always been so, and that the UK has reasonably good levels of social mobility with people moving in/out of relative poverty
- market forces can lead to job creation, providing one of the strongest routes out of poverty
- low labour taxes and low welfare spending provide stronger incentives for workers to escape poverty by their own means
- many problems associated with housing are linked to failures of policy rather than the market (eg lack of new homes resulting from Green Belt planning law, etc.)
- trickle down effects
- the need for government intervention to prevent wealth from being excessively concentrated in the hands of the rich
- why market forces are unlikely to deal adequately with some causes of poverty, e.g. poverty amongst the sick, disabled, the old and infirm
- arguments in favour of progressive direct taxes rather than regressive indirect taxes
- policies that retain an element of incentives, such as working tax credit
- the need for government intervention to establish a minimum level of essential human capital and physical capital investments (eg education and transport infrastructure)
- the tendency of markets to increase rather than decrease poverty
- the distinction between the impact of market forces on absolute, as opposed to relative, poverty.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max 25 marks  |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                               | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                                 | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments <b>and/or</b> data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context <b>and/or</b> data to the question</li> <li>includes some limited analysis but it may lack focus <b>and/or</b> become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                  | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which, at best, is very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                | 1 – 5 marks   |

**22.****Relevant issues include:**

- definitions/explanations: unemployment, government policies, the natural rate of unemployment
- linking the natural rate to equilibrium in the labour market
- identifying the natural rate as being caused by mainly “voluntary” unemployed workers
- linking the natural rate to structural, frictional or real wage unemployment
- explaining the nature of the supply and demand for labour
- explaining the role of supply-side policies in reducing the natural rate
- considering interventionist or laissez-faire approaches to reducing the natural rate
- explaining the role of wage and inflationary expectations in altering the natural rate
- explaining any of the following:
  - the level of JSA
  - the level of taxation
  - the NMW
  - training schemes
  - transferable skills
  - occupational mobility
  - geographical mobility
  - trade union reform
  - labour market flexibility
  - childcare assistance
  - reducing hysteresis/long-term unemployment
  - reducing wage expectations
  - or any other valid reason.

The use of relevant diagrams to support the analysis such as a long-run Phillips curve or a labour market diagram should be taken into account when assessing the quality of the candidate's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max 15 marks  |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 3                 | <b>A good response provides an answer that:</b> <ul style="list-style-type: none"> <li>is well organised and develops a selection of the key issues that are relevant to the question</li> <li>shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning.</li> </ul>                        | 11 – 15 marks |
| 2                 | <b>A reasonable response provides an answer that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question</li> <li>shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places.</li> </ul> | 6 – 10 marks  |
| 1                 | <b>A weak response provides an answer that:</b> <ul style="list-style-type: none"> <li>has identified one or more relevant issues</li> <li>has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>has very limited application of relevant economic principles to the given context <b>and/or</b> data to the question</li> <li>might have some limited analysis but it may lack focus <b>and/or</b> become confused.</li> </ul>                                                                                  | 1 – 5 marks   |

[15]

**23.****Areas for discussion include:**

- what is meant by the UK gender pay gap
- how the pay gap has evolved over time
- significance of UK gender pay gap compared with other countries
- how supporting trade unions can reduce the wage gap, noting female union membership is already higher than male, and yet the pay gap persists
- higher wages through collective bargaining
- the declining significance of unions in general
- discussion of how the government would actually encourage women to join unions and whether that is an appropriate policy for government to pursue
- supporting women in the workplace through, e.g. training, working conditions, encouraging women to be ambitious (see Extract F)
- analysis and assessment of increasing National Minimum Wage rates
- analysis and assessment of increasing female labour force participation
- legislating for boardroom quotas, as seen in Norway, as a way to promote aspiration and break the 'glass ceiling'
- other policies to promote aspiration amongst females, and break down traditional social norms with respect to, e.g. school/degree subject choices
- UK policy of forcing firms to disclose pay gaps
- tougher penalties for firms discriminating against women
- impact of policy intervention on wage costs
- the case against further intervention, or even reducing existing interventions, to allow market forces in the labour market to reduce the pay gap
- evaluation of how much the pay gap is actually a problem that needs to be addressed

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max 25 marks  |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 5                 | <b>Sound, focused analysis and well-supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response</li> <li>includes well-focused analysis with clear, logical chains of reasoning</li> <li>includes supported evaluation throughout the response and in a final conclusion.</li> </ul>                                                                                                                                                                                               | 21 – 25 marks |
| 4                 | <b>Sound, focused analysis and some supported evaluation that:</b> <ul style="list-style-type: none"> <li>is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors</li> <li>includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response</li> <li>includes some well-focused analysis with clear, logical chains of reasoning</li> <li>includes some reasonable, supported evaluation.</li> </ul>                                                                                                                                                                                                                 | 16 – 20 marks |
| 3                 | <b>Some reasonable analysis but generally unsupported evaluation that:</b> <ul style="list-style-type: none"> <li>focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response</li> <li>includes some reasonable analysis but which might not be adequately developed or becomes confused in places</li> <li>includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments <b>and/or</b> data.</li> </ul> | 11 – 15 marks |
| 2                 | <b>A fairly weak response with some understanding that:</b> <ul style="list-style-type: none"> <li>includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>includes some limited application of relevant economic principles to the given context <b>and/or</b> data to the question</li> <li>includes some limited analysis but it may lack focus <b>and/or</b> become confused</li> <li>includes some evaluation which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                  | 6 – 10 marks  |
| 1                 | <b>A very weak response that:</b> <ul style="list-style-type: none"> <li>includes little relevant knowledge and understanding of economic terminology, concepts and principles</li> <li>includes application to the given context which, at best, is very weak</li> <li>includes attempted analysis which is weak and unsupported.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                | 1 – 5 marks   |

| Level of response | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Max 9 marks |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 3                 | <ul style="list-style-type: none"> <li>is well organised and develops one or more of the key issues that are relevant to the question</li> <li>shows sound knowledge and understanding of relevant economic terminology, concepts and principles</li> <li>includes good application of relevant economic principles <b>and/or</b> good use of data to support the response</li> <li>includes well-focused analysis with a clear, logical chain of reasoning</li> <li>includes a relevant diagram that will, at the top of this level, be accurate and used appropriately</li> </ul> | 7 – 9 marks |
| 2                 | <ul style="list-style-type: none"> <li>includes one or more issues that are relevant to the question</li> <li>shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present</li> <li>includes reasonable application of relevant economic principles <b>and/or</b> data to the question</li> <li>includes some reasonable analysis but it might not be adequately developed and may be confused in places</li> <li>may include a relevant diagram</li> </ul>                                                     | 4 – 6 marks |
| 1                 | <ul style="list-style-type: none"> <li>is very brief <b>and/or</b> lacks coherence</li> <li>shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely</li> <li>demonstrates very limited ability to apply relevant economic principles <b>and/or</b> data to the question</li> <li>may include some very limited analysis but the analysis lacks focus <b>and/or</b> becomes confused</li> <li>may include a relevant diagram but the diagram is not used <b>and/or</b> is inaccurate in some respects.</li> </ul> | 1 – 3 marks |

A labour market diagram is expected, showing two different demands for labour/MRP curves representing productivity differentials between men and women.

#### Relevant issues include

- explanation of MRP / MPP
- relationship between marginal productivity and the demand for labour
- why labour productivity is likely to affect the wage rate
- women are more likely to work in so-called 'lower productivity industries', such as the care sector, than men
- the tendency of men to work in occupations where marginal revenue is higher
- women tend to be under-represented in more senior roles in many organisations
- some employers may **perceive** women as less productive than their male counterparts within the same firms/roles, for reasons such as time out of work to have children, discrimination, physical attributes, working hours inflexibility, etc. In sectors where physical productivity is hard to measure, employer perceptions will be critical to labour demand.

| Response                                                                                                                                                                                                                                                                                                              | Max 4 marks    |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
| <ul style="list-style-type: none"> <li>includes evidence that shows that the degree of inequality between the pay of male and female workers is falling.</li> <li>clearly explains how the data show that the degree of inequality between the pay of male and female workers is falling.</li> </ul>                  | <b>4 marks</b> |
| <ul style="list-style-type: none"> <li>includes evidence that shows that the degree of inequality between the pay of male and female workers is falling.</li> <li>unclear explanation of how the data show that the degree of inequality between the pay of male and female workers is falling.</li> </ul>            | <b>3 marks</b> |
| <ul style="list-style-type: none"> <li>includes evidence that shows that the degree of inequality between the pay of male and female workers is falling.</li> <li>limited explanation of how the data show that the degree of inequality between the pay of male and female workers is falling.</li> </ul>            | <b>2 marks</b> |
| <ul style="list-style-type: none"> <li>includes evidence that does not clearly show that the degree of inequality between the pay of male and female workers is falling.</li> <li>no explanation of how the data show that the degree of inequality between the pay of male and female workers is falling.</li> </ul> | <b>1 mark</b>  |

**Relevant issues include:**

- explanation of the degree of inequality / gender pay gap
- evidence that women are paid less than men, but this percentage is increasing over the period (70.1% in 2000, 78.1% in 2008, 80.7% in 2015)
- evidence that women's pay has risen 65.6% over the period, but men's has risen by only 43.7%.
- credit should be given to candidates who quote changes in absolute differences (e.g. £6238 in 2000 £5763 in 2015) in male and female earnings, but to earn 4 marks they should recognise that the 'degree of inequality' is measured by the relative pay of male and female workers, as indicated for example, by bullet points 2 and 3

[4]